

on the table at the time of application did help curb some of the exaggerated bids by institutional investors.

The IPO boom nearly got derailed by a SEBI probe, which revealed that shares reserved for retail investors in the Yes Bank and IDFC IPOs were cornered by a group of racketeers who opened fictitious demat accounts. The matter first came to light sometime in July when, during an income tax raid on businessman Purshottam Budhwani, it was found that he controlled 6,000-odd demat accounts. The Income Tax department then tipped off SEBI, which began its probe by examining the allotments in the IDFC and Yes Bank IPOs.

The findings enraged retail investors who were either not allotted shares or got fewer shares than they might have because of the scam. Yes Bank shares had risen more than 50 per cent in less than three months since their listing in October. Shares of IDFC had more than doubled since their listing in August.

SEBI widened the probe to IPOs dating back to June 2003. It brought out a detailed report in April 2006. The investigators found that in 21 IPOs, shares meant for retail investors had been cornered by a group of 85 financiers working through 24 players fronting for them. Based on the listing-day gains, SEBI concluded that the financiers and their fronts had together made a profit of Rs 72 crore through this theft of shares.

In all, around 59,000 *benami* demat accounts were opened, and applications for shares in IPOs were made by these fictitious entities. Nearly 84 per cent of the accounts were opened by the depository participant (DP) Karvy. A DP is an agent of a depository, an intermediary between the depository and the investor. A large number of such *benami* accounts were opened at other DPs too, the notable ones being HDFC Bank, Centurion Bank of Punjab (which was later acquired by HDFC Bank) and ILFS.

In every case, the DP had not diligently checked for proof of identity and proof of address of the entities opening demat accounts. They were required to do so under the Know Your Customer (KYC) norms. Strangely, none of the DPs found anything suspicious about accounts with common postal addresses being opened in bulk on the same day. No red flag was raised either when the IPO shares allotted to the *benami* accounts were consolidated in a select few demat accounts to which they were transferred just before listing day.